

Independent Auditors' Report to the Members of Bamburi Cement Limited

We have audited the financial statements of Bamburi Cement Limited and its subsidiaries set out on pages 39 to 69 which comprise the consolidated and company balance sheets as at 31 December 2006, and the consolidated income statement, consolidated and company statements of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes. We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As indicated on page 37, the company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risk of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the company and of the group at 31 December 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act

Deloitte & Touche

Certified Public Accountants (Kenya)

"Kirungii", Ring Road, Westlands

P.O. Box 40092 - 00100, Nairobi

Consolidated Income Statement

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	2006 Shs'million	2005 Shs'million
Sales	1(c)	16,488	14,393
Other operating income	4	173	97
Investment revenue	5	62	44
		16,723	14,534
Change in inventory of finished goods		(165)	374
Cost of raw materials and consumables	6	(8,264)	(7,632)
Staff costs	7	(1,581)	(1,448)
Depreciation	14	(646)	(668)
Amortisation	16	(27)	(29)
Other operating costs	8	(2,053)	(1,797)
Operating profit	9	3,987	3,334
Finance costs	10	(149)	(187)
Profit before tax		3,838	3,147
Tax	11	(1,039)	(992)
Profit for the year		2,799	2,155
Attributable to:			
Equity holders of Bamburi Cement Limited		2,614	2,004
Minority interest		185	151
		2,799	2,155
Earnings per share – basic and diluted	12	Shs 7.20	Shs 5.52
Dividends:			
First interim dividend paid in the year	13	726	653
Second interim dividend paid in the year	13	726	1,270
Final dividend proposed	13	545	-
		1,997	1,923

Consolidated Balance Sheet

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	2006 Shs'million	2005 Shs'million
ASSETS			
Non current assets			
Property, plant and equipment	14	9,395	9,080
Operating lease rentals	15	9	9
Intangible assets	16	56	72
Capital work in progress	17	643	350
Investments in subsidiaries	18	1	1
Other equity investments	19	2,610	1,803
Goodwill	20	217	217
		12,931	11,532
Current assets			
Inventories	21	2,385	2,027
Trade and other receivables	22	1,137	853
Tax recoverable	11(c)	3	-
Cash and cash equivalents	23	2,057	920
		5,582	3,800
Total Assets		18,513	15,332
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	1,815	1,815
Capital redemption reserve	25	2	2
Revaluation surplus	25	2,965	2,821
Fair value reserve	25	2,264	1,457
Translation reserve	25	(70)	(338)
Retained earnings	13	6,041	4,922
Shareholders' funds		13,017	10,679
Minority interest		719	602
		13,736	11,281
Non-current liabilities			
Deferred tax	26	1,951	1,932
Provision for liabilities and charges	27	368	342
		2,319	2,274
Current liabilities			
Trade and other payables	28	2,187	1,168
Tax payable	11(c)	167	108
Borrowings	29	-	417
Provision for liabilities and charges	27	84	64
Unclaimed dividends	30	20	20
		2,458	1,777
Total equity and liabilities		18,513	15,332

The financial statements on pages 39 to 69 were approved by the board of directors on 13 February 2007 and were signed on its behalf by:

M. Puchercos

A. Sigei

Company Balance Sheet

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	2006 Shs'million	2005 Shs'million
ASSETS			
Non current assets			
Property, plant and equipment	14	7,114	6,721
Operating lease rentals	15	1	1
Intangible assets	16	54	63
Capital work in progress	17	438	182
Investments in subsidiaries	18	968	968
Other equity investments	19	2,610	1,803
		11,185	9,738
Current assets			
Inventories	21	1,795	1,403
Trade and other receivables	22	1,382	1,037
Cash and cash equivalents	23	1,463	680
		4,640	3,120
Total Assets		15,825	12,858
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	24	1,815	1,815
Capital redemption reserve	25	2	2
Revaluation surplus	25	2,743	2,417
Fair value surplus	25	2,264	1,457
Retained earnings		5,216	4,307
		12,040	9,998
Non-current liabilities			
Deferred tax	26	1,542	1,402
Provision for liabilities and charges	27	332	296
		1,874	1,698
Current liabilities			
Trade and other payables	28	1,669	987
Tax payable		153	94
Provision for liabilities and charges	27	69	61
Unclaimed dividends	30	20	20
		1,911	1,162
Total equity and liabilities		15,825	12,858

The financial statements on pages 39 to 69 were approved by the board of directors on 13 February 2007 and were signed on its behalf by:

M. Puchercos

Director

A. Sigei

Director

Consolidated Statement Of Changes In Equity

FOR THE YEAR ENDED 31 DECEMBER 2006

[42]

	Share capital Shs'million	Capital redemption reserve Shs'million	Revaluation reserve Shs'million	Fair value reserve Shs'million	Retained earnings Shs'million	Translation reserve Shs'million	Attributable to equity holders of Bamburi Shs'million	Attributable to minority interest Shs'million	Total Shs'million
At 1 January 2005	1,815	2	3,107	388	4368	183	9,863	622	10,485
Transfer of excess depreciation	-	-	(267)	-	267	-	-	-	-
Deferred tax on excess depreciation	-	-	60	-	(60)	-	-	-	-
Revaluation surplus realised on disposal of property	-	-	(120)	-	-	-	(120)	-	(120)
Deferred tax on revaluation	-	-	35	-	-	-	35	-	35
Deferred tax on revaluation surplus realised on disposal of property	-	-	6	-	(6)	-	-	-	-
Fair value gain on equity investments	-	-	-	1,069	-	-	1,069	-	1,069
Profit for the year	-	-	-	-	2,004	-	2,004	151	2,155
Translation gain/(loss)	-	-	-	-	272	(521)	(249)	(88)	(337)
Dividends:									
- interim, for 2005 declared and paid	-	-	-	-	(1,923)	-	(1,923)	(83)	(2,006)
At 31 December 2005	1,815	2	2,821	1,457	4,922	(338)	10,679	602	11,281
At 1 January 2006	1,815	2	2,821	1,457	4,922	(338)	10,679	602	11,281
Transfer of excess depreciation	-	-	(244)	-	244	-	-	-	-
Deferred tax on excess depreciation	-	-	73	-	(73)	-	-	-	-
Revaluation surplus /deficit	-	-	538	-	-	-	538	(80)	458
Deferred tax on revaluation	-	-	(187)	-	-	-	(187)	24	(163)
Fair value gain on equity investments	-	-	-	807	-	-	807	-	807
Profit for the year	-	-	-	-	2,614	-	2,614	185	2,799
Translation gain/(loss)	-	-	(36)	-	(214)	268	18	(12)	6
Dividends:									
- interim, for 2006 declared and paid	-	-	-	-	(1,452)	-	(1,452)	-	(1,452)
At 31 December 2006	1,815	2	2,965	2,264	6,041	(70)	13,017	719	13,736

The reserve accounts included in the statement of changes in equity are explained below:

- The capital redemption reserve represents funds set aside for redemption of preference shares.
- The revaluation reserve represents the net cumulative surplus arising from revaluations of property, plant and equipment. The revaluation surpluses are non-distributable.
- The fair value reserve represents the cumulative surpluses or deficits

arising from restatement of investments in equity shares from cost to fair value based on the market values of the equities at the balance sheet date.

- Retained earnings represent accumulated profits retained by the group after payment of dividends to the shareholders.
- The translation reserve represents the cumulative position on translation gains and losses arising from conversion of the net assets of the foreign subsidiary company to the reporting currency.

Company Statement of Changes in Equity

FOR THE YEAR ENDED 31 DECEMBER 2006

	Share capital Shs'million	Capital redemption reserve Shs'million	Revaluation reserve Shs'million	Fair value reserve Shs'million	Retained earnings Shs'million	Total Shs'million
At 1 January 2005	1,815	2	2,685	388	4,176	9,066
Transfer of excess depreciation	-	-	(226)	-	226	-
Deferred tax on excess depreciation	-	-	37	-	(37)	-
Revaluation surplus realised on disposal of property	-	-	(120)	-	-	(120)
Deferred tax on revaluation	-	-	35	-	-	35
Deferred tax on revaluation surplus realised on disposal of property	-	-	6	-	(6)	-
Fair value gain on equity investments	-	-	-	1,069	-	1,069
Profit for the year	-	-	-	-	1,871	1,871
Dividends:					- interim, for	
2005 declared and paid	-	-	-	-	(1,923)	(1,923)
At 31 December 2005	1,815	2	2,417	1,457	4,307	9,998
At 1 January 2006	1,815	2	2,417	1,457	4,307	9,998
Transfer of excess depreciation	-	-	(223)	-	223	-
Deferred tax on excess depreciation	-	-	67	-	(67)	-
Revaluation surplus	-	-	724	-	-	724
Deferred tax on revaluation surplus	-	-	(242)	-	-	(242)
Fair value gains on equity investments	-	-	-	807	-	807
Profit for the year	-	-	-	-	2,205	2,205
Dividends:						
- interim, for 2006 declared and paid	-	-	-	-	(1,452)	(1,452)
At 31 December 2006	1,815	2	2,743	2,264	5,216	12,040

The reserve accounts included in the statement of changes in equity are explained below:

- The capital redemption reserve represents funds set aside for redemption of preference shares.
- The revaluation reserve represents the net cumulative surpluses arising from revaluations of property, plant and equipment. The revaluation reserve is non-distributable.
- The fair value reserve represents the cumulative surpluses or deficits arising from restatement of investments in equity shares from cost to fair value based on the market values of the equities at the balance sheet date.
- The retained earnings represent accumulated profits retained by the company after payment of dividends to the shareholders.

Consolidated Cash Flow Statement

FOR THE YEAR ENDED 31 DECEMBER 2006

	Notes	2006 Shs'million	2005 Shs'million
OPERATING ACTIVITIES			
Cash generated from operations	33	4,927	3,592
Interest received	5	37	16
Interest paid	10	(47)	(35)
Taxation paid	11(c)	(1,213)	(1,116)
Net cash generated from operating activities		3,704	2,457
INVESTING ACTIVITIES			
Purchase of property, plant and equipment, intangible assets and expenditure on capital work in progress	17	(766)	(512)
Proceeds from disposals of property, plant and equipment		2	86
Dividends received	5	25	-
Net cash used in investing activities		(739)	(426)
FINANCING ACTIVITIES			
Dividends paid to group shareholders	13	(1,452)	(2,055)
Dividends paid to minority interest		-	(83)
Net cash used in financing activities		(1,452)	(2,138)
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS		1,513	(107)
MOVEMENT IN CASH AND CASH EQUIVALENTS			
Balance at start of year		503	632
Increase/(decrease) for the year		1,513	(107)
Exchange adjustment		41	(22)
Balance at end of year	23	2,057	503

Notes to the Financial Statements

FOR THE YEAR ENDED 31 DECEMBER 2006

1 ACCOUNTING POLICIES

The financial statements are prepared in accordance with International Financial Reporting Standards.

The accounting policies adopted in the preparation of these financial statements remain unchanged from the previous years. The group's principal accounting policies are set out below:

Adoption of new and revised international financial reporting standards

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

IFRS 7 on Financial Instruments Disclosures

IFRS 8 on Operating Segments

IFRIC 8 - Scope of IFRS 2

IFRIC 9 Reassessment of Embedded Derivatives

IFRIC 10 Interim Financial Reporting and Impairment

The adoption of these standards and interpretations, when effective, will have no material impact on the financial statements of the group.

(a) Basis of preparation

The financial statements are prepared under the historical cost convention as modified by the revaluation of certain property, plant and equipment, and the carrying of available-for-sale investments at fair value.

(b) Consolidation

Subsidiary undertakings, which are those companies in which the parent company, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, are consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposal. All inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated; losses are also eliminated unless cost cannot be recovered. Where necessary, accounting policies for subsidiaries have been changed to achieve consistency with the policies adopted by the parent company.

The income statement of the foreign subsidiary is translated at average exchange rate for the year and the balance sheet at the year end rate. The resulting differences arising from translation are dealt with in the translation reserve.

A listing of the subsidiaries in the group is provided in Note 18.

(c) Revenue recognition

Sales are recognised upon dispatch for self collection or else on delivery of products to customers or performance of service. The sales are stated net of VAT and discounts, and after eliminating sales within the Group.

Interest income is recognised as it accrues, unless its collectability is in doubt. Dividends receivable are recognised as income in the period in which they are declared by investee companies.

1 ACCOUNTING POLICIES (Continued)

(d) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the [45]

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at the balance sheet date. The resulting differences from conversion and translation are dealt with in the income statement in the year in which they arise.

(e) Investments

The company has classified its investments into available-for-sale investments and originated loans. Management determines the appropriate classification of its investments at the time of purchase and re-evaluates such designations on a regular basis as follows:

- (i) Investments intended to be held for an indefinite period of time, but which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. These investments are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital.
- (ii) Non-equity investments purchased in the primary market (i.e. directly from the issuers) are classified as originated loans.

All purchases and sales of investments are initially recognised at cost on the trade date, which is the date a company within the group commits to purchase or sell the asset. Cost of purchase includes transaction costs.

Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method.

Unrealised gains and losses arising from changes in the fair value of available-for-sale investments are dealt with in a separate reserve in the statement of changes in equity. On disposal, the entire realised gain or loss is recognised in the income statement.

(f) Property, plant and equipment

All property, plant and equipment are initially recorded at cost. Freehold land and buildings are subsequently restated to revalued amounts, based on valuations by independent external valuers, less subsequent depreciation. Plant and machinery is revalued internally on the basis of a valuation model prescribed by engineers and consultants at the technical centre of the ultimate shareholder. The valuations are carried out approximately once every five years. All other property, plant and equipment are stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the related revaluation reserve; all other decreases are charged to the income statement. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

1 ACCOUNTING POLICIES (Continued)

Depreciation is calculated on the straight line basis to write down the cost of each item of property plant and equipment, or the revalued amount, to its residual value over its expected useful life as follows:

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

Buildings, plant and machinery	14 - 22 years
Equipment and mobile plant	3 - 10 years
Residential buildings	40 years

Freehold land is not depreciated as it is deemed to have an infinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

(g) Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all risks and rewards of ownership to the Group or the company as the lessee. All other leases are classified as operating leases.

Rentals payable under operating leases are amortised on the straight line basis over the term of the relevant lease.

(h) Goodwill

Goodwill arising on consolidation represents the excess of the cost of acquisition over the fair value of the group's share of the net assets of the acquired subsidiary as at the date of acquisition. Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill is allocated to the cash generating units expected to benefit from the synergies of the combination. Cash generating units to which goodwill has been allocated are tested for impairment annually. If the recoverable amount of the cash generating unit is less than the carrying amount of the unit, the impairment loss is allocated to reduce the carrying amount of the goodwill allocated to the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

(i) Inventories

Inventories of consumables and spare parts are stated at weighted average cost less provision for obsolete and slow moving items. All other inventories are stated at the lower of cost and net realisable value. Cost includes direct cost and appropriate overheads and is determined on the first-in first-out method.

(j) Trade receivables

Trade receivables are carried at amortised invoice amounts less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off in the year in which they are identified as irrecoverable.

(k) Employee entitlements

Employee entitlements to long service awards are recognised when they accrue to employees. A provision is made for the estimated liability for long-service awards as a result of services rendered by employees up to the balance sheet date.

1 ACCOUNTING POLICIES (Continued)

The estimated monetary liability for employees' accrued leave entitlements at the balance sheet date is recognised as an expense accrual.

(l) Taxation

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, [47]

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

adjusted in accordance with tax legislation.

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

Deferred tax assets are only recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(m) Retirement benefits obligations

The group operates a defined contribution pension scheme for eligible non-unionisable employees. The scheme is administered by an independent investment management company and is funded by contributions from the group companies and employees. The Group also makes contributions to the statutory defined contribution schemes in the two countries where operations are based.

Unionisable staff who retire on attaining the age of 55 years or are declared redundant are eligible for a service gratuity based on each employee's length of service with the group, as provided for in the trade union agreement.

The group's obligations to the staff retirement benefits plans are charged to the income statement as they fall due or in the case of service gratuity as they accrue to each employee.

(n) Restructuring provisions

Restructuring provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment. Employee termination benefits are recognised only after either an agreement is in place with the appropriate employee representatives specifying the terms of redundancy and numbers of employees affected, or after individual employees have been advised of the specific terms. Costs related to the ongoing activities of the company are not provided for in advance.

(o) Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an annual general meeting.

(p) Impairment

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

1 ACCOUNTING POLICIES (Continued)

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss is recognised as income immediately.

(q) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

current year.

2 Critical judgements in applying the entity's accounting policies

In the process of applying the groups accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The key areas of judgement in applying the group's accounting policy are dealt with below:

Inventories provision

Management makes provisions for spares that exceed the set maximum level based on the usage of the inventory by comparing items in stock with the recent past consumption. The maximum level is determined by taking into consideration the leadtime, the specified order quantity, the source of the spares and usage rate.

Impairment losses

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss, other than that arising from goodwill, is recognised as income immediately.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

3 Segment Information

The group is organised on a regional basis into two main geographical segments:

- Kenya
- Uganda

Both geographical segments are mainly involved in the manufacture and sale of cement. Hence the primary reporting format below is the only one presented.

Year ended 31 December 2006	Kenya Shs'million	Uganda Shs'million	Group Shs'million
Revenues	10,847	5,641	16,488
Operating profit	3,269	718	3,987
Segment assets	14,579	3,717	18,296
Non-segment assets			217
Total assets			18,513
Segment liabilities	3,797	960	4,757
Non-segment liabilities			20
Total liabilities			4,777

Year ended 31 December 2005	Kenya Shs'million	Uganda Shs'million	Group Shs'million
Revenues	8,784	5,609	14,393
Operating profit	2,554	780	3,334
Segment assets	11,700	3,415	15,115
Non-segment assets			217
Total assets			15,332
Segment liabilities	2,864	1,167	4,031
Non-segment liabilities			20
Total liabilities			4,051

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash, and mainly exclude investments. Segment liabilities comprise operating liabilities and exclude items such as dividends payable and certain corporate borrowings.

Sales revenue reporting is based on the country in which the production facility is located. Total assets are shown by the geographical area in which the assets are located.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

	Group 2006 Shs'million	Group 2005 Shs'million
4 Other Operating Income		
Profit on disposal of property, plant and equipment	2	27
Miscellaneous income	171	70
	173	97
5 Investment Revenue		
Interest income	37	16
Dividends income	25	28
	62	44
6 Cost Of Raw Materials And Consumables		
Raw materials and packaging	4,647	4,456
Fuel costs	1,548	1,431
Repairs and maintenance	858	816
Electricity	1,211	929
	8,264	7,632
7 Staff Costs		
The following items are included within staff costs:		
Salaries and wages	1,148	1,046
Staff welfare costs	286	263
Retirement benefits costs	147	139
	1,581	1,448
The number of persons employed by the group at the year end was:	Numbers	Numbers
Full time	848	838
Casuals and contractors	211	184
	1,059	1,022

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

	Group 2006 Shs'million	Group 2005 Shs'million
8 Other Operating Costs		
Distribution costs	653	612
Professional fees	368	327
Telecommunication costs	164	121
Transport and travelling costs	176	149
Promotion, marketing and donation costs	152	144
Rentals, security and business licences	215	202
Other office costs	231	221
Other costs	94	21
	2,053	1,797
9 Operating Profit		
The operating profit is arrived at after charging:		
Staff costs (note 7)	1,581	1,470
Depreciation (note 14)	646	668
Amortisation of intangible assets (note 16)	27	29
Directors' emoluments:		
- Fees	6	6
- Other emoluments	86	88
Auditors' remuneration	7	8
10 Net Finance Costs		
Net foreign exchange losses	(102)	(152)
Interest expense	(47)	(35)
	(149)	(187)
11 Tax		
(a) Tax Charge		
Current taxation based on the adjusted profit at 30%	1,262	1,034
Underprovision of current tax in prior years	7	-
Overseas tax charged on dividends receivable	-	29
Total current tax charge	1,269	1,063
Deferred tax credit (note 26)	(372)	(73)
Underprovision of deferred tax in prior years (note 26)	142	2
Net deferred tax credit	(230)	(71)
Total tax charge	1,039	992

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

	Group 2006 Shs'million	Group 2005 Shs'million
11 Tax (Continued)		
(b) Reconciliation of Expected Tax Based on Accounting Profit to Tax Charge		
Profit before tax	3,838	3,147
Tax calculated at the domestic rates applicable of 30%	1,152	944
Tax effect of:		
Income not subject to tax	(8)	(15)
Expenses not deductible for tax purposes	30	32
Underprovision of current tax in prior years	7	-
Under provision of deferred tax in prior years	(142)	2
Overseas tax charged on dividends	-	29
Actual tax charge	1,039	992
(c) Tax Movement		
At beginning of the year:		
Payable	108	161
Taxation charge	1,269	1,063
Taxation paid	(1,213)	(1,116)
At end of the year		
Net tax payable	164	108
Comprising:		
Payable	167	108
Recoverable	(3)	-
	164	108

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

12 Earnings Per Share

Basic and diluted earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year, as shown below:

	2006	2005
Net profit attributable to shareholders (Shs million)	2,614	2,004
Weighted average number of ordinary shares (million)	363	363
Basic and diluted earnings per share (Shs)	7.20	5.52

There were no potentially dilutive shares outstanding at 31 December 2006 and 31 December 2005. There were no discontinued operations.

13 Retained Earnings and Dividends

	Group 2006 Shs'million	Group 2005 Shs'million
Balance at beginning of year	4,922	4,368
Net profit attributable to members of the parent entity	2,614	2,004
Payment of dividends	(1,452)	(1,923)
Transfer from properties revaluation reserve	171	201
Translation (loss)/gain	(214)	272
	6,041	4,922

On 13 April 2006, a first interim dividend of Shs 2 per share representing an amount of Shs 726 million (2005: Shs 653 million) was paid. The second interim dividend of Shs 2 per share totalling to Shs 726 million (2005 – 1,270 million) was paid on 20 September 2006.

In respect of the current year, the directors propose that a final dividend of Shs 1.50 per share, representing a total sum of Shs 545 million, be paid. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Payment of dividends is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

14 Property, Plant and Equipment

(a) Group

	Land and residential buildings Shs'million	Plant and machinery Shs'million	Office equipment and tools Shs'million	Mobile plant Shs'million	Total Shs'million
Cost or valuation					
At 1 January 2005	1,345	10,525	562	938	13,370
Exchange adjustment*	(76)	(395)	(24)	(25)	(520)
Additions	-	364	68	10	442
Disposals	(48)	(12)	(224)	(268)	(552)
Impairment	-	(187)	-	-	(187)
At 31 December 2005	1,221	10,295	382	655	12,553
At 1 January 2006	1,221	10,295	382	655	12,553
Exchange adjustment*	7	41	2	6	56
Additions	-	347	60	64	471
Disposals	-	(6)	-	(17)	(23)
Revaluation	(91)	9,214	-	-	9,123
At 31 December 2006	1,137	19,891	444	708	22,180
Depreciation					
1 January 2005	176	2,074	430	814	3,494
Exchange adjustment*	(22)	(71)	(16)	(20)	(129)
Charge for the year	31	541	50	46	668
On disposals	(11)	(4)	(214)	(264)	(493)
Impairment	-	(67)	-	-	(67)
At 31 December 2005	174	2,473	250	576	3,473
1 January 2006	174	2,473	250	576	3,473
Exchange adjustment*	3	7	2	2	14
Charge for the year	26	531	53	36	646
On disposals	-	(5)	-	(17)	(22)
Revaluation	(13)	8,687	-	-	8,674
At 31 December 2006	190	11,693	305	597	12,785
Net book value					
At 31 December 2006	947	8,198	139	111	9,395
At 31 December 2005	1,047	7,822	132	79	9,080

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

14 Property, Plant and Equipment (Continued)

*The exchange adjustment arises from the translation of the values relating to assets held by a subsidiary, Himcem Holdings Limited.

Plant and machinery, office equipment and mobile plant with a cost of Shs 935 million (2005: Shs 662 million) were fully depreciated as at 31 December 2006. The normal annual depreciation charge on these assets would have been Shs 192 million (2005: Shs 148 million).

Land and residential buildings include freehold land worth Shs 443 million (2005 : Shs 527 million) located in Mombasa and limestone deposits worth Shs 115 million (2005 : Shs 121 million) in Kasese, Uganda.

b) Company

	Land and residential buildings Shs'million	Plant and machinery Shs'million	Office equipment and tools Shs'million	Mobile plant Shs'million	Total Shs'million
Cost or valuation					
At 1 January 2005	807	7,937	404	757	9,905
Additions	-	125	42	-	167
Disposals	(32)	(4)	(209)	(255)	(500)
Revaluation	-	(187)	-	-	(187)
At 31 December 2005	775	7,871	237	502	9,385
At 1 January 2006	775	7,871	237	502	9,385
Additions	-	130	17	-	147
Disposals	-	-	-	(17)	(17)
Revaluation	(60)	9,458	-	-	9,398
At 31 December 2006	715	17,459	254	485	18,913
Depreciation					
At 1 January 2005	30	1,651	336	693	2,710
Charge for the year	8	422	26	28	484
On disposals	(3)	(1)	(208)	(251)	(463)
Revaluation	-	(67)	-	-	(67)
At 31 December 2005	35	2,005	154	470	2,664
At 1 January 2006	35	2,005	154	470	2,664
Charge for the year	8	422	30	18	478
On disposals	-	-	-	(17)	(17)
Revaluation	(13)	8,687	-	-	8,674
At 31 December 2006	30	11,114	184	471	11,799
Net book value					
At 31 December 2006	685	6,345	70	14	7,114
At 31 December 2005	740	5,866	83	32	6,721

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

14 Property, Plant and Equipment (Continued)

The Group's land, buildings, plant, and machinery were revalued on 1 January 2006. Land and buildings were valued by independent valuers. The valuation of plant and machinery was carried out internally based on a valuation model prescribed by engineers and consultants at the technical centre of the ultimate shareholder.

Land and buildings were revalued on the basis of open market value. Plant and machinery were revalued on a depreciated replacement cost basis.

Plant and machinery, office equipment and mobile plant with a cost of Shs 700 million (2005: Shs 578 million) were fully depreciated as at 31 December 2006. The normal annual depreciation charge on these assets would have been Shs 146 million (2005: Shs 123 million).

If the property, plant and equipment were stated on the historical cost basis, the amounts would be as follows:

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Cost	9,140	8,194	5,970	5,850
Accumulated depreciation	(3,674)	(3,170)	(2,757)	(2,528)
Net book value	5,466	5,024	3,213	3,322

15 Operating Lease Rentals

Net carrying amount at 1 January	9	11	1	1
Exchange adjustment	-	(2)	-	-
Balance as at 31 December	9	9	1	1

The operating lease rentals relate to leasehold land, mainly raw materials quarries located in Mombasa and Nairobi in Kenya and Kasese in Uganda.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

16 Intangible Assets – Computer Software

	Group Shs'million	Company Shs'million
Cost		
At 1 January 2005	319	235
Additions	53	52
Disposal	(3)	(2)
Exchange adjustment	(13)	-
At 31 December 2005	356	285
At 1 January 2006	356	285
Additions	12	11
Exchange adjustment	3	-
At 31 December 2006	371	296
Amortisation		
At 1 January 2005	270	206
Charge for the year	29	19
Disposal	(2)	(3)
Exchange Adjustment	(13)	-
At 31 December 2005	284	222
At 1 January 2006	284	222
Charge for the year	27	20
Exchange Adjustment	4	-
At 31 December 2006	315	242
NET BOOK VALUE		
At 31 December 2006	56	54
At 31 December 2005	72	63

17 Capital Work in Progress

Capital work in progress relates primarily to plant modifications in progress at year end. No depreciation has been charged on this expenditure.

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
At 1 January	350	347	182	254
Additions	766	512	414	148
Transfers to property plant and equipment	(471)	(442)	(147)	(167)
Transfers to intangible assets	(12)	(53)	(11)	(53)
Exchange Adjustment	10	(14)	-	-
At 31 December	643	350	438	182

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

18 Investments in Subsidiaries

Details of the subsidiaries in the group are provided below:

	Holding %	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Simbarite Limited	100	-	-	53	53
Less: impairment provision		-	-	(22)	(22)
			-	31	31
Bamburi Special Products Ltd	100	-	-	20	20
Bamburi Cement Ltd, Uganda	100	-	-		-
Himcem Holdings Ltd, Channel Islands	100	-	-	911	911
Lafarge Ecosystem Ltd	100	-	-	5	5
Diani Estate Ltd	100	1	1	1	1
Whistling Pines Ltd	100	-	-	-	-
Kenya Cement Marketing Ltd	50	-	-	-	-
Portland Mines Ltd	50	-	-	-	-
Seruji Management Ltd, Channel Islands	100	-	-	-	-
		1	1	968	968

Except where indicated above, the subsidiaries are incorporated in Kenya.

Himcem Holdings Limited has a 70% holding in its subsidiary, Hima Cement Limited, a company incorporated in Uganda.

19 Other Equity Investments

These represent Available-For-Sale investments, which are restated to fair value annually at the close of business on 31 December. For investments traded in active markets, fair value is determined by reference to Stock Exchange quoted bid prices. For other investments, fair value is determined by reference to the current market for similar instruments or by reference to the discounted cash flows of the underlying net assets.

The market value of the quoted equity shares at 31 December 2006 was Shs 2,610 million (2005: Shs 1,803 million).

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

19 Other Equity Investments (Continued)

The movement in available-for-sale investments is as follows:

Group and Company	2006 Shs'million	2005 Shs'million
At 1 January	1,803	734
Fair value gain	807	1,069
At 31 December	2,610	1,803

The fair value gains and losses on Available-For-Sale investments are dealt with in a separate reserve in the statement of changes in equity.

20 Goodwill

Cost

At beginning of the year	217	503
Elimination of accumulated amortisation	-	(286)
	217	217

Amortisation

At 1 January	-	286
Elimination of accumulated amortisation	-	(286)

At 31 December	-	-
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Net carrying value	217	217
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The goodwill arose from the acquisition of a subsidiary, Hima Cement Limited, in 1999. During the current financial year, the Group assessed the recoverable amount of goodwill and determined that the goodwill was not impaired.

21 Inventories

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Raw materials	410	198	326	186
Consumables and spare parts	1,015	1,107	720	815
Finished goods	652	487	515	257
Fuel and packaging	307	233	234	144
Other	1	2	-	1
	2,385	2,027	1,795	1,403

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

22 Trade And Other Receivables

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Trade receivables	499	542	244	316
Prepayments and deposits	97	42	76	24
Other receivables	219	153	189	104
Receivables from related companies (Note 34)322	116	873	593	
	1,137	853	1,382	1,037

23 Cash and Cash Equivalents

Cash at bank and on hand	937	556	658	316
Short term bank deposits	1,120	364	805	364
	2,057	920	1,463	680

The weighted average effective interest rate earned on short-term bank and related party deposits during the year was 3.5% (2005-2.5%). The short-term deposits mature within three months.

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks and investments in money market instruments, net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings, under current liabilities. The year end cash and cash equivalents comprise the following:

	Company 2006 Shs'million	Company 2005 Shs'million
Deposits, bank balances and cash (as above)	2,057	920
Bank overdrafts (note 29)	-	(417)
	2,057	503

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

24 Share Capital

Group and Company

	2006 Shs'million	2005 Shs'million
Authorised		
366,600,000 ordinary shares of Sh 5 each	1,833	1,833
100,000 7% cumulative redeemable preference shares of Sh 20 each	2	2
	1,835	1,835
Issued and fully paid		
362,959,275 ordinary shares of Sh 5 each	1,815	1,815

25 Reserves

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Revaluation reserve				
Balance at beginning of year	2,821	3,107	2,417	2,685
Increase arising on revaluation of properties	538	-	724	-
Deferred tax liability on revaluation surplus	(187)	-	(242)	-
Revaluation surplus realised on disposal of property	-	(85)	-	(85)
Exchange loss	(36)	-	-	-
Transferred to retained earnings	(171)	(201)	(156)	(183)
Balance at end of year	2,965	2,821	2,743	2,417

The revaluation reserve arises on the revaluation of land and buildings. Where revalued land or buildings are sold, the portion of the properties revaluation reserve that relates to that asset, and is effectively realised, is transferred directly to retained profits. The revaluation surpluses are non-distributable.

Group and Company

	2006 Shs'million	2005 Shs'million
Fair value surplus		
Balance at beginning of year	1,457	388
Increase arising on revaluation of financial assets	807	1,069
Balance at end of year	2,264	1,457

The fair value surplus arises on the revaluation of available-for-sale financial assets. Where a revalued financial asset is sold, the portion of the reserve that relates to that financial asset, and is effectively realised, is recognised in profit or loss. Where a revalued financial asset is impaired, the portion of the reserve that relates to that financial asset is recognised in profit or loss during the year.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

25 Reserves (Continued)

	Group 2006 Shs'million	Group 2005 Shs'million
Translation reserve		
Balance at beginning of year	(338)	183
Translation of foreign operations	268	(521)
Balance at end of year	(70)	(338)

Exchange differences relating to the translation from the functional currencies of the Group's foreign subsidiary into the Kenya Shilling, which is the functional currency of the group are brought to account by entries made directly to the foreign currency translation reserve.

Capital redemption reserve

The capital redemption reserve represents funds set aside for redemption of preference shares.

26 Deferred Tax

Deferred taxes are calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2005: 30%). The make up of the deferred tax liabilities at the year end and the movement on the deferred tax account during the year are presented below:

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Accelerated capital allowances on property, plant and equipment	939	940	545	556
Exchange differences	(33)	(13)	(23)	(12)
Provisions	(189)	(176)	(127)	(114)
Revaluation surpluses	1,259	1,269	1,147	972
Other temporary differences	(25)	(88)	-	-
	1,951	1,932	1,542	1,402

The movement on the deferred tax account during the year is as follows:

At 1 January	1,932	2,134	1,402	1,545
Income statement credit for the year (note 11)	(372)	(71)	(102)	(143)
Prior Years underprovision (Note 11)	142	-	-	-
Revaluation/impairment of assets	242	(35)	242	-
Exchange differences	7	(96)	-	-
At 31 December	1,951	1,932	1,542	1,402

In addition, deferred tax amounting to Shs 73 million in respect of the group (2005: Shs 60 million) and Shs 67 million in respect of the company (2005: Shs 37 million) has been transferred within shareholders' equity from retained earnings to revaluation reserves. This represents deferred tax on the difference between the actual depreciation charge on the property, plant and equipment and the equivalent depreciation charge based on the historical cost of the property, plant and equipment.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

27 Provisions for Liabilities and Charges

Group

	Restructuring, site restoration & litigation Shs'million	Service gratuity Shs'million	Long service awards Shs'million	2006 Total Shs'million	2005 Total Shs'million
At start of year	43	317	46	406	306
Additional provisions	7	58	8	73	126
Utilised during the year	-	(22)	(5)	(27)	(26)
At end of year	50	353	49	452	406
Less: current portion	(50)	(34)	-	(84)	(64)
Non current portion	-	319	49	368	342

Company

At start of year	42	269	46	357	259
Additional provisions	6	43	9	58	124
Utilised during the year	-	(8)	(6)	(14)	(26)
At end of year	48	304	49	401	357
Less: Current portion	(48)	(21)	-	(69)	(61)
Non-current portion	-	283	49	332	296

28 Trade and Other Payables

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Trade payables	1,415	473	1,209	435
Accrued expenses	453	557	389	451
Other payables	114	138	41	65
Amounts due to related companies (Note 34) 2005	-	30	36	
	2,187	1,168	1,669	987

29 Borrowings

The borrowings are made up as follows:

Bank overdraft	-	417	-	-
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Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

29 Borrowings (Continued)

The weighted average interest rates incurred on borrowing facilities during the year were:

	Group 2006	Group 2005	Company 2006	Company 2005
- bank overdrafts – local currencies	7.9%	16%	-	12.75%
- bank loans – local currencies	7.8%	8.5%	-	8.5%

Borrowing facilities

The group has the following undrawn borrowing facilities with its bankers:

	Group 2006 Shs'million	Group 2005 Shs'million	Company 2006 Shs'million	Company 2005 Shs'million
Floating rate				
- expiring within one year	937	746	292	617

The borrowing facilities are annual facilities that were subject to review at various dates during the year 2006. They consist of overdrafts, letters of credit and guarantees.

30 Unclaimed Dividends

Group and Company

	2006 Shs'million	2005 Shs'million
At start of year	20	152
Declared and paid in the year	1,452	1,923
Dividends claimed	(1,452)	(2,055)
At end of year	20	20

31 Contingent Liabilities

Guarantees to the group's bankers in favour of staff	78	89
Bonds issued by the group's bankers in favour of Kenya Revenue Authority	954	482
Tax demand by Uganda Revenue Authority	-	106
Bonds issued by the group's bankers in favour of suppliers	138	91
Insurance bond issued to Uganda Revenue Authority	100	100
	1,270	868

The guarantees issued by the group's bankers in favour of the Kenya Revenue Authority are part of the bank facilities disclosed in note 29 above and are issued in the normal course of business.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

32 Capital Commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

Group	2006 Shs'million	2005 Shs'million
Commitments for the acquisition of property, plant and equipment	72	35

Capital expenditure authorised but not contracted for at the balance sheet date:

Commitments for the acquisition of property, plant and equipment	8,973	5,288
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33 Cash Generated from Operations

Reconciliation of profit before tax to cash generated from operations:

Profit before tax	3,838	3,147
Adjustments for:		
Depreciation (note 14)	646	668
Amortisation of intangible assets (note 16)	27	29
Profit on disposal of property, plant and equipment	(1)	(27)
Profit on disposal of intangible assets	-	(1)
Interest income (note 5)	(37)	(16)
Dividend income (note 5)	(25)	(28)
Interest expense (note 10)	47	35
	4,495	3,807
Changes in working capital balances		
Increase in inventories	(348)	(131)
(Increase)/decrease in trade and other receivables	(280)	8
Increase in provisions for liabilities and charges	45	97
Increase/(decrease) trade and other payables	1,015	(189)
Cash generated from operations	4,927	3,592

The exchange movements attributable to movement of working capital are as follows:

Inventories	10	(17)
Trade and other receivables	4	(5)
Trade and other payables	4	(7)
Provisions for liabilities and charges	(1)	3
	17	(26)

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

34 Related Parties

The ultimate parent of the group is Lafarge SA, incorporated in France. There are other companies which are related to Bamburi Cement Limited through common shareholdings or common directorships.

In the normal course of business the group sells cement to an associate of its ultimate shareholder. These sales represented approximately 13% of the group's sales volume during the year (2005: 12%).

The company receives technical assistance from the majority shareholder, which is paid for under a five year agreement.

The following transactions were carried out with related parties during the year.

Group	2006 Shs'million	2005 Shs'million
Sales of goods and services	1,206	417
Purchases of goods and services	292	153

Sales and purchases to/from related parties were made on terms and conditions similar to those offered to major customers or available from major suppliers.

Outstanding balances arising from sale and purchase of goods and services to/from related companies at the year end.

	Group 2006	Group 2005	Company 2006	Company 2005
Receivables from related parties	322	116	319	114
Receivables from subsidiaries	-	-	554	479
	322	116	873	593
Payables to related parties	205	-	30	36
Short term cash deposits	897	289	582	289

The short term deposits are held with the principal shareholder's central treasury department at terms similar to those offered by other financial institutions.

Notes to the Financial Statements (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2006

34 Related Parties (Continued)

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

Group	2006 Shs'million	2005 Shs'million
Salaries and other short-term employment benefits	86	84
Post-employment benefits	6	4
	92	88
Directors' remuneration		
Fees for services as a director	6	6
Other emoluments	92	88
	98	94

35 Operating Lease Commitments

Lease payments committed under operating leases:

Not later than 1 year	55	55
Later than 1 year but not later than 5 years	63	35
	118	90